



ESSENTIALS OF FINANCIAL ACCOUNTING

Enrichment Exercise # 2

2. Choose a public company of your choice and identify the following through the Statement of Cash Flows and the related footnote disclosures:

- What was the cash inflow or outflow of the company from each category in the statement of cash flows?
 - Do they have sufficient free cash flow?
 - What types of investing projects are they focused on and does it relate to their strategy? For example, if the Management Discussion & Analysis indicates that they are expanding operations and upgrading their infrastructure, do you see this in the financial data?
 - How are they funding their investment projects (borrowing, new investors, increased sales)?
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I chose Apple, Inc. Here is the PDF of their 2015 annual report:

<https://d1lge852tjigow.cloudfront.net/CIK-0000320193/fae19475-b538-441b-ab15-0a311f161ebb.pdf>

Looked at 2015 column on page 46 for statement of cash flows, page 33 for investing projects, page 26 for Management of Discussion & Analysis, page 25 for net sales.

Operating Activities Inflow: 81,266 million

Investing Activities Outflow: 56,274 million

Financing Activities Outflow: 17,716 million

Free Cash Flow: cash flow from operations - capital expenditures

Apple has more than enough operating cash flow of \$81,266 million to fund the capital expenditures of \$11,247 million.

Investing projects: During 2015, the Company focused on purchasing and selling marketable securities, as well as acquiring property, plant, and equipment. They also anticipate spending approximately \$15.0 billion for capital expenditures during 2016, which includes product tooling and manufacturing process equipment; data centers; corporate facilities and infrastructure, including information systems hardware, software and enhancements; and retail store facilities (page 34).

How they are funding investment projects: The Company is able to fund their investments through their operating activities.